

Circular 2025/04 — Basel IV Capital Adequacy Implementation — Phase 2

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Effective Date:	01 January 2026	Response Deadline:	30 September 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Overview

This circular provides implementation guidance for Phase 2 of the Basel IV capital adequacy framework, consistent with the Basel Committee on Banking Supervision's final standards. Phase 2 introduces revised Internal Ratings-Based (IRB) approaches and output floor requirements that will significantly impact capital calculations for all Domestically Systemically Important Banks (D-SIBs) and internationally active firms.

2. Output Floor Requirements

With effect from 1 January 2026, all firms using internal models for capital calculation must ensure that their risk-weighted assets (RWAs) do not fall below 72.5% of the RWAs calculated under the Standardised Approach (the 'output floor'). Firms must begin parallel-running output floor calculations from 1 July 2025 to ensure systems readiness.

3. Revised Credit Risk Framework

The revised Standardised Approach for credit risk introduces new risk weight categories for: (a) Retail exposures — subdivided into regulatory retail (75% risk weight) and other retail; (b) Real estate exposures — risk weights now dependent on loan-to-value (LTV) ratios; (c) Subordinated debt and equity exposures — increased risk weights of 150% to 400%; (d) Exposures to banks and corporates — use of external credit ratings where available.

4. Reporting Requirements

Firms must submit revised COREP (Common Reporting) templates reflecting Basel IV calculations from the reporting period ending 31 March 2026. Firms must provide the Authority with a Parallel Run Report by 30 September 2025 showing Basel III vs Basel IV capital impacts, including a quantitative impact assessment and capital plan if additional capital is required.

5. Implementation Support

The Authority will publish detailed Q&A; guidance in May 2025 and conduct industry workshops in June and August 2025. Firms with questions should submit queries to capitalrequirements@fra.gov by 31 May 2025 to ensure inclusion in the Q&A; document.